Cambridge Assessment International Education

Cambridge O Level

COMMERCE **7100/11**

Paper 1 Multiple Choice **October/November 2020**

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **forty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 40.
- Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
- Any rough working should be done on this question paper.

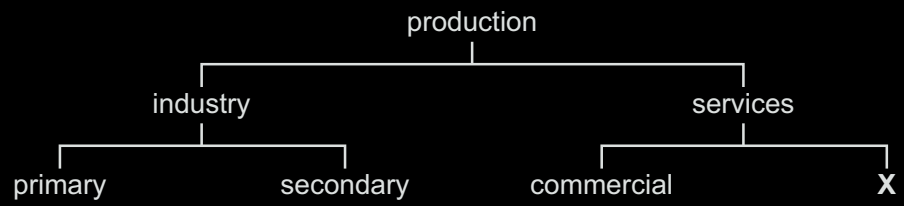
This document has **12** pages. Blank pages are indicated.

© UCLES 2020

[Turn over

PapaCambridge

1 The diagram shows the branches of production.



What is **X**?

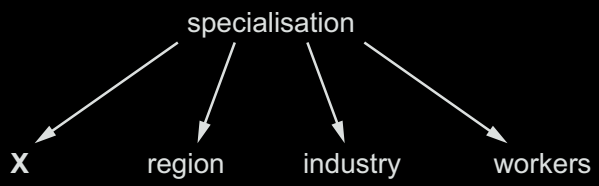
A aids to trade

B direct

C manufacturing

D trade

2 The diagram shows a number of ways in which specialisation occurs.



What is **X**?

A construction

B country

C primary

D tertiary

3 What is an example of commerce?

A a factory owner using an accountant to prepare his accounts

B a farmer rearing sheep on his farm

C a manufacturer using iron to make steel products

D a shop owner buying insurance to protect her property

4 Which retail outlet is large, usually situated in the centre of town, and sells many types of goods?

A department store

B hypermarket

C speciality shop

D voluntary chain

© UCLES 2020

PapaCambridge

5 Which advantage to customers might a small-scale retailer have compared to a large-scale retailer?

A It buys in bulk at discounted prices.

B It employs many staff.

C It is conveniently located.

D It offers a wide variety of goods.

6 What is an advantage to a small business of ecommerce?

A It can choose in which country to pay its tax.

B It can set up outlets in many countries.

C Its labour force is recruited worldwide.

D Its potential market is international.

7 Mr X buys a car for $4000 on hire purchase over a 5-year period.

If he makes the required 25% deposit and monthly repayments of $70, how much will he have paid in interest?

A $200 **B** $840 **C** $1200 **D** $4200

8 What is the name of the intermediary in international trade who sells goods in his own name?

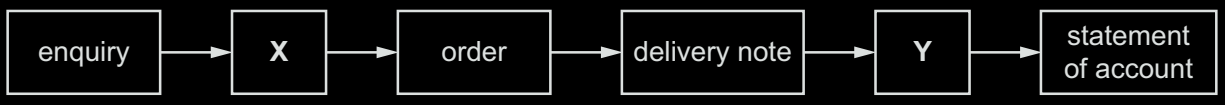
A broker

B factor

C forwarding agent

D wholesaler

9 The sequence of documents used for a business transaction between two firms is shown.



Which documents fit the **X** and **Y** boxes to make the sequence complete?

	X	Y
A	credit note	invoice
B	invoice	credit note
C	invoice	quotation
D	quotation	invoice

© UCLES 2020

[Turn over

PapaCambridge

10 The table shows information about a transaction between a wholesaler and a retailer.

return of packing cases to the wholesaler	$100
return of damaged goods to the wholesaler	$400
total	$500

Which action is **most** likely to be taken by the retailer?

A Send a cheque for $500 to the wholesaler.

B Send a new order to the wholesaler.

C Wait to receive a credit note from the wholesaler.

D Wait to receive an invoice from the wholesaler.

11 A wholesaler buys televisions from a manufacturer for $120 each. The wholesaler sells them to a retailer for $150 each.

What is the wholesaler's percentage mark-up?

A 20% **B** 25% **C** 30% **D** 75%

12 Cash discount offered to customers means that they pay less than the full amount if

A goods are purchased by cash.

B goods are purchased by cheque.

C payment is made after interest is given.

D payment is made in the agreed time period.

13 The development of world trade into a single economy is known as

A globalisation.

B industrialisation.

C nationalisation.

D specialisation.

14 A country has a Balance of Payments surplus on its current account.

What does this mean?

A The total value of its exports exceeds the total value of its imports.

B The total value of its imports exceeds the total value of its exports.

C The total value of its invisibles exceeds the total value of its visibles.

D The total value of its visibles exceeds the total value of its invisibles.

© UCLES 2020

PapaCambridge

15 What is a function of a customs authority?

A arranging trade between countries

B collecting duties on imports

C delivering goods to buyers

D re-exporting goods previously imported

16 Free trade takes place when

A exports are subsidised by governments.

B the level of imports needs to be reduced.

C there are no trade restrictions between countries.

D trade takes place without the use of money.

17 What is likely to be advertised using collective advertising?

A branded product

B cleaning service

C holiday region

D seasonal sale

18 Mr Ramasinghe is a small-scale retailer who has a shop in a town. He wishes to advertise his business.

Which advertising method would be **least** suitable for him to use?

A auction websites

B flyers

C local newspapers

D window displays

19 A supermarket is opening a new store in a town centre.

Which sales promotion technique will attract the most customers?

A after-sales service

B late night opening

C loss leaders

D point-of-sale displays

PapaCambridge

20 A manufacturer of soft drinks has paid to have its products shown during a television show.

What is this called?

A digital billboard

B mobile app

C product placement

D social media advertising

21 Why is communication important for a multinational company operating in the global market?

A to allow it to sell more goods in the home market

B to enable the company to operate as a single unit

C to reduce tariffs and quotas imposed in international trade

D to transport goods from its warehouses to airports and ports

22 Mrs Azam wishes to send a valuable item to her son who lives 500 km away.

Which postal service would she use?

A express mail

B first class letter post

C poste restante

D registered post

23 What is an advantage of using a mobile phone rather than a landline?

A It is difficult to steal.

B It is used only for local calls.

C It may be used anywhere.

D It requires a signal to operate.

24 For which consignment would delivery by air transport be suitable?

A daily delivery of perishable goods to supermarkets

B large quantities of iron ore from Australia to Taiwan

C medical supplies from London to Cape Town

D sand in bulk from the Middle East to Australia

© UCLES 2020

PapaCambridge

25 Which service is provided by a port authority?

A collecting revenue for the government

B inspecting immigration documents

C maintaining and repairing the docks

D supervising bonded warehouses

26 Which commercial term describes the management of the flow of goods?

A containerisation

B ecommerce

C leasing

D logistics

27 Which statement **best** describes the function of a freight forwarder?

A arranges transport, organises customs clearance, prepares documentation

B breaks bulk, negotiates import duty, delivers products

C negotiates purchase contracts, arranges transport, pays for goods

D organises shipments, negotiates customs clearance, pays for goods

28 What is a function of warehousing?

A to maintain supplies

B to manufacture goods

C to provide after-sales service

D to standardise goods

29 A bonded warehouse is a place where

A customs officials store confiscated and smuggled goods.

B dutiable goods are stored until duty has been paid on them.

C goods are manufactured ready for sale.

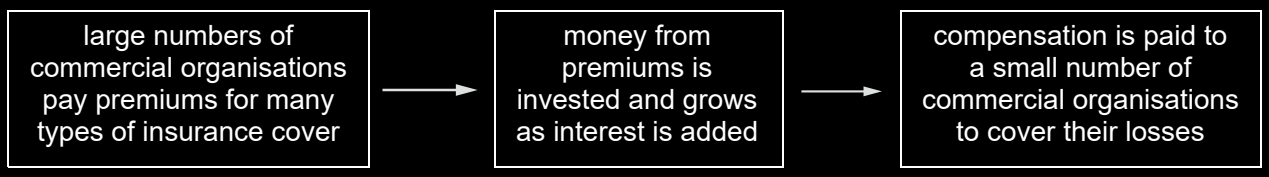
D merchants store all their goods awaiting export.

© UCLES 2020

[Turn over

PapaCambridge

30 The diagram shows how insurance companies are able to pay financial compensation to commercial organisations who suffer accidental loss.



Which term describes the process shown in the diagram?

A contribution and subrogation

B economies of scale

C insurable interest

D pooling of risk

31 Which business risk is non-insurable?

A fidelity bond

B fire damage

C motor accident

D poor management

32 The owner of a factory holding stock worth $200 000 insures the stock for $150 000. A fire causes $40 000 of damage.

How much would the factory owner receive?

A $30 000 **B** $40 000 **C** $50 000 **D** $150 000

33 Mrs Rashid runs a stall in a local market selling home-grown produce to customers.

Which banking service is she **not** likely to need in her business?

A current account

B deposit account

C night safe

D overdraft

© UCLES 2020

PapaCambridge

34 Many debit cards now display the sign for contactless payments.



What **additional** service is provided to users of these debit cards?

A making small payments without entering a pin number

B obtaining cash back when using the card and a pin number

C paying for goods and services purchased online

D using the card to obtain local currency in another country

35 Simeon, a retailer, wishes to locate his business in a shopping centre.

Why would Simeon choose a shopping centre?

A Businesses selling different products are there.

B Many people visit shopping centres every day.

C The shopping centre is on the outskirts of a town.

D There is an internet café there.

36 When all the assets of a limited company that has ceased to trade have been sold, it still has liabilities of $250 000.

To pay off that debt, how much will each of its 20 shareholders be liable for?

A $12 500

B a contribution determined by the type of share they own

C a contribution determined by the value of their shareholding

D zero liability

37 Which advantage in an advertisement for a leasing company would be the **most** important to a business that provides regular delivery of goods all over the country?

A All types of vans are available.

B A new van is provided every two years.

C No capital costs are involved in purchasing a van.

D Roadside breakdown assistance is included in the rental charge.

© UCLES 2020

[Turn over

PapaCambridge

38 Mr Singh is a small-scale retailer. His cost of goods sold was $90 000. His opening inventory was $10 000 and closing inventory was $8000.

What is his rate of inventory turnover?

A 5 **B** 9 **C** 10 **D** 18

39 Which system does **not** rely on the climate to produce cleaner energy?

A anaerobic digesters

B hydroelectricity

C solar panels

D wind farms

40 Mrs Moyo buys a new toaster from a shop. When she arrives home, she discovers that the toaster is faulty.

According to consumer law, what should she do?

A claim compensation for her wasted time

B return to the shop for a replacement toaster

C take no action

D tell the police

© UCLES 2020

PapaCambridge

BLANK PAGE

© UCLES 2020

PapaCambridge

BLANK PAGE

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (UCLES) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in the Cambridge Assessment International Education Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cambridgeinternational.org after the live examination series.

Cambridge Assessment International Education is part of the Cambridge Assessment Group. Cambridge Assessment is the brand name of the University of Cambridge Local Examinations Syndicate (UCLES), which itself is a department of the University of Cambridge.

© UCLES 2020

PapaCambridge